

Paytm had developed, the company will be able to get through. “And from here on, we are very clear that we will work with other banks... OCL has already been working with other banks for the past two years,” he told investors in a February call. Sharma declined to participate in this story because of Paytm’s silent period—its FY24 results will be out soon.

Back to Paytm. There are multiple businesses within its ecosystem. There is an unsecured lending business: buy now, pay later (BNPL), merchant loans, personal loans, and collection & loan recovery services. But growth is slowing due to overheating and the RBI’s regulations, asking for higher capital allocation. The entry of Reliance Industries Ltd’s (RIL) Jio Financial in the merchant payments market, particularly its subscription-based device strategy, is expected to compound Sharma’s troubles. Payments players like Google Pay and PhonePe also have plans to scale up financial services. To top it all, RBI’s decision to allow banks to offer credit lines on UPI at merchant outlets will enable major banks to encroach upon Sharma’s loans business. Paytm also has a discount broking business on the equity side, akin to what Zerodha does, along with the distribution of MFs and insurance. The third revenue line is the marketing business, but that remains unaffected by the RBI action.

“Paytm has to figure out the model, and frankly, knowing its record and DNA, it may have the user base, but it does not have a product that will work because everyone is happy using PhonePe and Google Pay for payments, MakeMyTrip for travelling, BookMyShow for entertainment, Zerodha for discount brokerage, and Policybazaar for buying policies,” says Kunal Nandwani, Co-founder and CEO at uTrade Solu-

WHAT REMAINS UNAFFECTED: THE FOCUS AREAS

1 **Loan distribution business in partnership with NBFCs will continue, with plans to onboard more partners**

2 **Expanding personal loans that offer higher margins and are less prone to defaults**

3 **Loan collection and recovery business for partners and others remains intact and poised for further expansion**

4 **Both equity broking and mutual fund businesses stand unaffected**

5 **Scale up insurance broking and potentially pursue a general insurance licence**

6 **Credit card distribution business remains stable and it may consider expanding its partner network**

tions, an algo trading firm. So where does Paytm go from here?

CHANGING TIDES

Over the past two years, Paytm has witnessed a significant shift from UPI (non-MDR businesses) towards non-UPI businesses in the payments vertical. “The growing demand for faster and real-time payments across merchant segments opens up opportunities to rethink revenue strategies beyond traditional MDR-centric business models,” says Deepak Chand Thakur, Co-founder & CEO of NPST Ltd, a banking and payment services provider. Paytm is doing exactly that by directing its focus towards medium- to large merchants in need of payment devices (such as Soundbox or card processing machines, which yield higher GMV) to create a subscription-based revenue model. Paytm has close to 40 million merchants, 10.6 million subscription-based devices installed, and innovative instruments like dynamic QR code, which seamlessly integrate with the merchant’s billing system. Sharma is looking for a larger slice of the non-UPI payments pie through the device strategy to ensure the business model sustains. The third line of non-UPI revenues under payments is platform fee, collected from select merchants or service providers utilising the Paytm app. Retail customers also pay a platform fee to purchase movie tickets or book entertainment shows, as well as for using services like bill reminders and autopay.

Clearly, Sharma is on track to transform a low-margin payments business. But he faces two challenges. First, the device strategy requires a field force and capital expenditure. Second, Jio has also commenced installing its soundboxes at